# Emami Y 2013 Earnings Call 6 May'13

## Operator

Ladies and gentlemen, good day and welcome to the Q4 FY13 Earning Conference Call of Emami Limited, hosted by Anand Rathi Research. As a reminder, for the duration of the conference, all participants' line are in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference is being recorded. I would now like to hand over the conference over to Mr. Aniruddha Joshi. Thank you and over to you, sir.

## Aniruddha Joshi, Analyst

Thanks, Subrato. On behalf of Anand Rathi Research, we welcome you all to the fourth quarter FY13 results conference call of Emami Limited. We have with us Mr. Mohan Goenka, Director; and Mr. Rajesh Sharma, VP, Finance, Accounts and Investor Relations. We also have Mr. Shirish Pardeshi, Executive Director of Anand Rathi.

And now, I would like to hand over to Mohan ji for his comments on the results. Thanks and over to you, sir.

## Mohan Goenka, Director

Thanks, Aniruddh and a very good evening friends. I welcome you all to this conference call on the fourth quarter results of Emami Limited. We have delivered another quarter of strong volume-driven growth across all the key categories, with stronger margins. All our power brands have been reporting strong and consistent performance.

Consumer sentiments in both the rural and the urban sector continued to be positive. Our topline at INR451 crore in the fourth quarter grew by 13.2%. EBITDA at INR100 crores grew by 21.6%. Profit before tax at INR112 crores and PAT at INR94 crores grew by 29.1% and 29.9% respectively over the corresponding quarter in previous year.

Our gross margin in the fourth quarter improved 270 basis points to 54.3%, despite the increase of 170 basis points in advertising and promotion spends at INR49 crores. Our EBITDA margins at 22.2% in quarter four expanded by 160 basis points. Net margin at 20.8% increased by 260 basis points for the quarter.

For the full-year, turnover at 1,699 crores grew by 16.9%. EBITDA at 347 crores grew by 17%. Profit before tax at INR369 crores and profit after tax at INR315 crores, grew by 23.3% and 21.6% respectively. Despite high input prices, EBITDA margins were maintained at 20.4%, a net margin at 18.5%, increased by 70 basis points. Domestic business continued its robust growth on account of strong volume in the fourth quarter also. It grew by 17.4% with revenues at 375 crores.

Volume growth was at 13%. Navratna grew by 13%, Zandu and Mentho Plus Balm grew by 18% and Fair and Handsome grew by 15%. Healthcare division comprising of the OTC ethical and generic products continue to perform credibly registering strong growth of 41% during the quarter.

Zandu Pancharishta is continuing to perform exceeding well. Pancharishta revenues have grown four times in the last two years. The modern trade business has also grown by 40% during this year. The direct rural business has also shown a very strong value growth. The channel registered a growth of 31% over last year thereby, contributing around 26% of our total sales.

During the year, we increased our direct reach to 6 lakhs retail outlets from 5 lakh outlets. Out of 7,500 villages with population around 8,000, Emami today has a direct coverage in 5,000 villages. During the year, distribution both direct and indirect of our major brands like Navratna has reached its all-time high of 4 million outlets.

Overall, we had a robust growth in the domestic business. The international business, however, degrew by 12% this quarter. Reduction of inventory at distributor's level and discontinuance of low margin products coupled with lower tax in CIS Russia has impacted the turnover in International business.

Our CSD sales grew by 67% in the fourth quarter. However, last year, fourth quarter base was low due to some problems in CSD. For the full year, CSD sales grew by 10%. With net cash of over INR300 crores, the Board has proposed a dividend of INR8 per share, amounting to a payout of 45% including dividend tax. The Board has also proposed the issue of bonus share to the shareholder in the ratio of one equity shares against every two equity shares held by them, subject to the approval of share holders.

With a stent [ph] sales momentum, judicious price increase, menthol price moderation and effective cost management initiatives, we look forward to pursue similar aggressive and profitable growth strategy. With this, I now open the Q&A and invite your questions. Thank you.

# Questions And Answers

## Operator

Thank you very much, sir. We will now begin the question-and-answer session. (Operator Instructions) We're going to take our first question from the line of Prakash Kapadia from ialpha Enterprises. Please go ahead.

## Prakash Kapadia, Analyst

Thanks for taking my question. Congratulation on good set of numbers. Sir, if you could give us some sense for the upcoming summer season, what is the outlook for Navratna Cooling Oil, Talcum Powder and other related products? That's my first question. In terms of the growth in other income, was there some non-recurring income, we had seen last year, because the other income looks high as a proportion to cash and liquid investments, because last year I think there was a sale from some license income?

## Mohan Goenka, Director

See Summer has just started.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

So, it's a little early for me to really say, because there is an another two months of summer --

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

-- to still go. But initially it looks to be alright.

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

The initial response that we are seeing of course the temperatures are very high in certain pockets.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

So I think we should be happy with our sales. But again, it's very difficult if monsoon comes early --

## Prakash Kapadia, Analyst

Okay.
-- then we might have some mistake. It might change.

## Prakash Kapadia, Analyst

Yeah. Absolutely.

## Mohan Goenka, Director

So it's slightly early for me to comment.

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

As far as the international business is concerned, for this quarter, we have taken some judicious corrections --

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

-- because we wanted to reduce our inventory at our distributor level in all the geographies.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

So that was the call, so I think it will take another two quarters for us to come out with real positive results.

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

Yeah. As far as Bangladesh is concerned, this quarter it has been no growth, but we have started our production for other brand also there and I think Bangladesh should grow very aggressively. I'm very confident that Bangladesh should recover in the next one, one and a half months.
Okay.

## Mohan Goenka, Director

Our problem continues in CIS, that is where we are facing major difficulty.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

And, I am not seeing the light of the day immediately, because it may take some time.

## Prakash Kapadia, Analyst

So the counterfeiting issues still remain, sir?

## Mohan Goenka, Director

It's more -- it's now actually the relation with the distributors, the relation at the trade level also are sour, because it's almost like by one year now.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

And we are unable to do much that.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

So honestly, as I said, it might take even two quarters for CIS to improve.

## Prakash Kapadia, Analyst

Right.
But overall international business, because this year has been poor as far as international business is concerned. So, definitely we will -- you will use a good improvement as far as next year in concerned --

## Prakash Kapadia, Analyst

Okay. And --

## Mohan Goenka, Director

-- because almost all the major correction have been done, whether it is Africa, whether it is -- except for CIS, even Middle East and SAARC and Africa.

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

Yeah.

## Prakash Kapadia, Analyst

So sir, in the scenario which you just mentioned of given the low base international business should improve, so should profitability also for the consolidated level be better because as I see the current year consolidated profits are lower than standalone profit, so should that reverse in FY14 and going forward?

## Mohan Goenka, Director

No -- surely, if the international business re-bounce and I'm sure it will, because this year it was a de-growth of almost 4.5%.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

So next year, we are expecting a growth of at least 15% to 20%. So that should bring in the profitability in the international business. And there -- sorry, there was one more question.

## Prakash Kapadia, Analyst

On the other income, so was that some one-off for non-recurring items in the other end come for the year as a whole, because last year had some income from sale of advances, so just wanted to get some sense on other income?

## Mohan Goenka, Director

This year, in this quarter, the other income is roughly about 4 crores. It is one-off.

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

Yeah.

## Prakash Kapadia, Analyst

4 crores is one-off.

## Mohan Goenka, Director

Yeah. 4 crores is one-off.

## Prakash Kapadia, Analyst

And sir, would you have the figure of one-off for the year as a whole, if possible, otherwise I'll take it afterwards, no issue?

## Mohan Goenka, Director

Yeah, whatever has committed only in this quarter, so for the year, it is also in the same, it is about 4.5 crores.

## Prakash Kapadia, Analyst

Okay, sir. Thank you. All the best.

## Mohan Goenka, Director

Thank you, Prakash.

## Operator

Thank you. (Operator Instructions) We're going to take our next question from the line Percy Panthaki from IIFL. Please go ahead.

## Percy Panthaki, Analyst Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Hello.

## Percy Panthaki, Analyst

Hello.

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Yeah, Percy. These are the segment wise numbers and overall growth, as you said is 13.2%. So that way the number is coming.

## Percy Panthaki, Analyst

So, what I mean is, if I do 17.4% multiplied by 85%, which is your weightage of domestic sales to 12.3x9 and then 67.5x6, so basically your weighted average according to this, then it does not tally.

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

No, but this the mix for the current -- this year's quarter. So last year's mix was a little different. So that is the only reason for some minor differences, which you may be getting. So we can discuss this.

## Percy Panthaki, Analyst

We can take it offline.

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Yeah, yeah.

## Percy Panthaki, Analyst

Okay. Secondly, I wanted to know in Fairness Cream, basically for the year, you have grown at around 13% and this is after over 600 basis points market share gain in last three quarters or so. So, which means if I try to derive the category growth rate or the market growth rate, it's just about 3% to 4%. So just wanted your view on that, I mean is this not an attractive or a fast growing category, why is the market growth so sluggish?

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations Percy Panthaki, Analyst

Okay.

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

So, but the momentum is continuing, let us see, because the first half was very bad. If you see our numbers for Fair and Handsome, we almost degrew in the first quarter. So now in the last two quarters the growth has been above 15%.

## Percy Panthaki, Analyst

Sir, what would you say is the reason for this overall sluggishness in the overall market, is it just discretionary spends, people are holding back or is it that people are not -- I mean, people are still okay with buying a generic fairness cream and not something only for men, what would you read into the overall market growth being sluggish?

## Mohan Goenka, Director

If you would see also, even the women's fairness cream --

## Percy Panthaki, Analyst

Yeah.

## Mohan Goenka, Director

-- this year, the overall fairness cream market was sluggish.

## Percy Panthaki, Analyst

Correct, correct. So it is basically a discretionary category issue that people in difficult times are not incrementally spending too much.

## Mohan Goenka, Director

Maybe, but as I said, over the last six months the scenario has improved.

## Percy Panthaki, Analyst

Correct.

## Mohan Goenka, Director Percy Panthaki, Analyst

Sure, sure. And is the reason same for the antiseptic cream market you have seen a 9% decline this quarter?

## Mohan Goenka, Director

No, because the season is off in the fourth quarter, so this 9% decline is not a very worrisome figure, because if you see the overall growth in the year, the antiseptic cream has grown a 31%, so maybe there were some stock. In the pipeline, there was -- in the third quarter. So that has -- probably, that is the reason why it has not grown in the fourth quarter.

## Percy Panthaki, Analyst

Understood. And finally, can you just give me your overall domestic volume growth figure for this quarter?

## Mohan Goenka, Director

Domestic volume growth figure?

## Percy Panthaki, Analyst

Yeah.

## Mohan Goenka, Director

Domestic volume growth figure is 13%.

## Percy Panthaki, Analyst

13%. Okay, sir. As of now, that's all from me. I'll come back in the queue, if I have any more questions.

## Mohan Goenka, Director

All right. Thank you.

## Operator

Thank you. We're going to take our next question from the line of Sudhir Kedia from ASK Investment. Please go ahead.

## Sudhir Kedia, Analyst

Good evening, sir. Sir, I have three questions. One, can you give us growth outlook for FY14 given that, you said that consumer sentiment is overall positive both in the rural and urban parts. So if you have to see when you're from here,

## Mohan Goenka, Director

I am very positive. If you see our domestic numbers, we have grown at above 17%.

## Sudhir Kedia, Analyst

That's right, sir.

## Mohan Goenka, Director

Yeah. So for the year, sorry, it is almost 21%, for the quarter it is 17.

## Sudhir Kedia, Analyst

That's right.

## Mohan Goenka, Director

Yeah. So if you see the domestic business, I am very confident that anywhere between 16% to 18% is achievable for this year also. We have very aggressive plans for as far as our brand are concerned.

## Sudhir Kedia, Analyst

Sir, but are you seeing any kind of slow down especially in the discretionary side, because when we speak to (inaudible)companies, they say, there is a concern under discretionary part, but is it the case with you as well?

## Mohan Goenka, Director

No, I don't really feel that way. Also, when I said for Fair and Handsome, we suffered in the first half when we did not spend on advertisement. But as soon as we spend money on advertisement, the sales started growing.

## Sudhir Kedia, Analyst

Okay.

## Mohan Goenka, Director

So it is -- yeah, so I am not really worried and I maintain a 16% growth for domestic, which I think as I said is achievable.

## Sudhir Kedia, Analyst Mohan Goenka, Director

Definitely, because that is one thing that really impacts our business. So, but now the season is favorable, because it's in turn somewhere across India, but as I said, if the monsoon comes in early, may be in the first week or second week of June, then surely it impacts our business.

## Sudhir Kedia, Analyst

All right. Sir, third thing, your tax rate raise are very low and why is it so and how long will it continue?

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Well, tax rate should be at around say 18% for FY14 and going ahead it should be at around 20%.

## Sudhir Kedia, Analyst

And when you will be under full tax, sir?

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

It will take a little say, comfortably for six, seven years I feel we should under mat only.

## Sudhir Kedia, Analyst

Okay, sir. Thank you, sir.

## Operator

Thank you. (Operator Instructions) We're going to take our next question from the line of Arno Mithra from Credit Suisse. Please go ahead.

## Arnab Mitra, Analyst

Hi. Mohan ji, a couple of question. One is on the Menthol price, from the last time we had the call prices have further come down. So what are you actually seeing in the market in terms of spot prices and in the light of the further correction, does your assumption on margins for FY14 change if prices what to sustain at these levels?

## Mohan Goenka, Director

Presently the Menthol prices are hovering at about INR1,200 to INR1,250. And it is almost last three four months, the prices are in this range. I am not very sure whether prices will down come from here or not, difficult for me to predict. But even at these levels, of course, the margins should improve significantly at the gross level almost by about 2.5 basis points to 3 basis points. But as I said, we would want to invest money on brand building for this year. So may be 1%,

## Arnab Mitra, Analyst

Right. And in this quarter, in the fourth quarter, did you already have the benefit of lower prices or was some of it also older price inventory that you were using?

## Mohan Goenka, Director

Yes, we saw some benefit coming in the fourth quarter as far as the Menthol is concerned.

## Arnab Mitra, Analyst

Right. And any price trends you're seeing on LLP or packaging material, because some of the crude derivatives have also moderated a little bit, but on your side anything you have seen there?

## Mohan Goenka, Director

The prices are quite stable as far as our input costs are concerned, this is very insignificant.

## Arnab Mitra, Analyst

Right. And in this scenario where costs are relatively benign, are you confident that you can take at least a 3%, 4% pricing growth next year, because to reach this 16%, 18% growth, you will require some bit of pricing also. So how does that look in terms of being able to take at least that 3%, 4% kind of price increase?

## Mohan Goenka, Director

Yeah, we have already taken some price increase as far as the summer brands are concerned in the month of March, so which you will see in this quarter and I am very confident --

## Arnab Mitra, Analyst

So, those would be --

## Mohan Goenka, Director

-- yeah, I think 4% price increase is what we must estimate throughout the year.

## Arnab Mitra, Analyst

Sure. And just one last question on the OTC segment. Overall, how big is this now for you at an annual level and do you see this kind of very high 25%, 30% growth continuing or and it will be driven by more products or more distribution, how do you look at the segment?

I've always been maintaining that I am very bullish on the Zandu Healthcare portfolio. And more or less, we have done about 96 cores for this year from 75 cores. So there has been a growth of almost 26% for the year. And I think going forward, as we have concrete plans, I think we will be able to maintain these growths for this particular segment.

## Arnab Mitra, Analyst

Sure. Thanks so much, sir.

## Mohan Goenka, Director

Thank you.

## Operator

Thank you. We're going to take our next question from the line of Pritesh Chheda from Emkay Global. Please go ahead.

## Pritesh Chheda, Analyst

Sir, just wanted to check on, for fiscal '14, do we have any specific programs on the NPD side?

## Mohan Goenka, Director

Yes, we have lined up couple of new launches, but I cannot give any specific details on new launches, but you would see some brand extensions coming in this year.

## Pritesh Chheda, Analyst

Okay. And sir, with the existing brands then?

## Mohan Goenka, Director

Yeah, under the existing brands.

## Pritesh Chheda, Analyst

Okay, okay. Thank you, sir.

## Mohan Goenka, Director

Thank you.

## Operator Hemang Kapasi, Analyst

Hello?

## Mohan Goenka, Director

Hi.

## Hemang Kapasi, Analyst

Yeah, just wanted to know do you do you do any forward cover the Menthol, means if you are doing how much you do at a stretch?

## Mohan Goenka, Director

See, what has happened if you have tracked Menthol, it has been very volatile over the last two years. So this strategy keeps on changing. But now what we are seeing that prices have been stable for four months now, so there's no point for forward booking at this point of time, and prices are also on the correction mode. So this strategy keeps on changing, there cannot be any static strategy on this.

## Hemang Kapasi, Analyst

So, I can ask one more follow-up, so how much stocks do we carry for raw materials?

## Mohan Goenka, Director

Typically, for the company we don't carry more than three weeks inventory.

## Hemang Kapasi, Analyst

Not more than three weeks inventory?

## Mohan Goenka, Director

Yeah.

## Hemang Kapasi, Analyst

Okay. And any CapEx specific for next one or two years lined up?

## Mohan Goenka, Director Hemang Kapasi, Analyst

So, this 80 crores to 100 crores would be more proportionately distributed or it would be back ended?

## Mohan Goenka, Director

Sorry, I didn't get. Come again.

## Hemang Kapasi, Analyst

Means, the 100 crores CapEx for two years, it will be spent equally in two years or it would be more in the second year than in the first year?

## Mohan Goenka, Director

Sorry, this 80 crores to 100 crores would be this year, the next year also it would be in the range of about 80 crores to 100 crores. So, in two years it will be about say anywhere between 160 crores to 180 crores.

## Hemang Kapasi, Analyst

Okay, okay. Thank you.

## Mohan Goenka, Director

Yeah.

## Operator

Thank you. (Operator Instructions) We're going to take our follow-up question from the line of Percy Panthaki from IIFL. Please go ahead.

## Percy Panthaki, Analyst

Sir, would you be able to tell us your average cost of Menthol consumed in FY'13?

## Mohan Goenka, Director

This year?

## Percy Panthaki, Analyst

Yeah.
Difficult, very difficult for me to really say what was the cost of Menthol for this year. It would anywhere in the range of about INR1,600, INR1,650.

## Percy Panthaki, Analyst

And for Q4 what would it be approximately?

## Mohan Goenka, Director

For the last quarter?

## Percy Panthaki, Analyst

Yeah.

## Mohan Goenka, Director

Last quarter, we didn't get much benefit out of it.

## Percy Panthaki, Analyst

Okay.

## Mohan Goenka, Director

So, it would be anywhere between 1,450 or something.

## Percy Panthaki, Analyst

Okay, sir. Thanks.

## Operator

Thank you. (Operator Instructions)

## Unidentified Participant

Yeah, sir Anil [ph] here. Sir, I have got couple of questions. Sir, can you just indicate the growth opportunities still left due to the expansion or distribution, you may already expanded the distribution considerably over past two, three years, so where do you see this scope in terms of expansion or distribution network now?

## Mohan Goenka, Director Unidentified Participant

Okay. And sir, means all the products are sold in the six lakh outlets or only Navratna is -- Navratna and Boroplus are getting sold over there?

## Mohan Goenka, Director

No, no, it's -- all the products are sold in these six lakhs. Navratna is sold in more than 40 lakh outlets, which is indirect reach. I am talking of the direct reach.

## Unidentified Participant

Okay. So direct reach, you plan to take it to eight lakh retail outlet?

## Mohan Goenka, Director

Right, in the next two years. So every year we will add one lakh new outlets.

## Unidentified Participant

Okay. And in terms of new update, any update on the variants of Navratna, which we had launch Navratna Lite and Navratna Coconut Cool. So of course, the Navratna Extra Thanda has been a great success, but about these two new variants?

## Mohan Goenka, Director

Those are not really focused at this point of time.

## Unidentified Participant

The focus continues to be on base Navratna and Extra Thanda?

## Mohan Goenka, Director

Absolutely, and Navratna Cool Talc.

## Unidentified Participant

Navratna Cool Talc?

## Mohan Goenka, Director Unidentified Participant

Sir, and any major innovation which you are looking at right now?

## Mohan Goenka, Director

Innovation in the sense in new products?

## Unidentified Participant

New products or variant, any new segments you are targeting like the way you have already done Fair and Handsome or long back Navratna Extra Thanda was done, so something like that?

## Mohan Goenka, Director

I really cannot discuss this. But as I said, we would definitely launch some brand extensions this year, which are interesting.

## Unidentified Participant

Okay. Okay, sir.

## Mohan Goenka, Director

Sure. Thank you.

## Operator

Thank you. (Operator Instructions) We're going to take our next question from the line of Sameer Deshmukh from Tata Securities. Please go ahead.

## Sameer Deshmukh, Analyst

Thanks for taking my question. Good evening, sir. Sir, could you provide me the volume growth numbers for the four flagship brands for the full year, FY'13?

## Mohan Goenka, Director

Yeah, sure. Sorry, just a second.

## Sameer Deshmukh, Analyst

Yeah.
Yeah, Navratna Oil has grown at about 16%.

## Sameer Deshmukh, Analyst

Sir, this is value or volume?

## Mohan Goenka, Director

No, this is volume.

## Sameer Deshmukh, Analyst

Okay.

## Mohan Goenka, Director

Sorry, just a minute. There is some confusion. Just a second.

## Sameer Deshmukh, Analyst

Yeah.

## Mohan Goenka, Director

I'm sorry, Navratna in volume terms have grown at about 7%.

## Sameer Deshmukh, Analyst

Okay.

## Mohan Goenka, Director

Yeah, in value it is about 16%.

## Sameer Deshmukh, Analyst

Right.

## Mohan Goenka, Director

Yeah. Boroplus Antiseptic Cream, the volume growth is about 28%.
Okay.

## Mohan Goenka, Director

And Fair and Handsome, volume growth is almost nil and value growth is about 12%.

## Sameer Deshmukh, Analyst

Okay.

## Mohan Goenka, Director

And as far as the Balms are concerned, the volume growth is about 8% and value growth is about 14%.

## Sameer Deshmukh, Analyst

Right, right. Okay. That's all from my side, and all the best for you future. Thank you.

## Mohan Goenka, Director

All right. Thank you.

## Operator

Thank you. We're going to take our next question from the line of Ravi Baid from Union KBC Mutual Fund. Please go ahead.

## Ravi Baid, Analyst

Thank you. My questions had been answered.

## Mohan Goenka, Director

Okay.

## Operator

Thank you. We're going to take our next from the line of Ajay Thakur from Axis Capital. Please go ahead.

## Ajay Thakur, Analyst

Thank you for taking my question. Just one question over here. I wanted to know the price hike that has been taken in March? Price hike that has been taken in March?

## Ajay Thakur, Analyst

That's right, average price hike?

## Mohan Goenka, Director

Average price hike would be about 4.5%.

## Ajay Thakur, Analyst

4.5%.

## Mohan Goenka, Director

Yes.

## Ajay Thakur, Analyst

Okay. And sir, another thing that just wanted to highlight actually. In other calls, we have been hearing that summer had been delayed, which had impacted to the sales of that company. But we haven't seen the same happening for our company, so what has been the differentiating factor over here, and what has been the to differentiate [ph], is it more of the distribution led growth that we are witnessing or is there something more to that?

## Mohan Goenka, Director

Actually, it's the product mix, because in the fourth quarter, we saw phenomenal growth for Navratna Cool Talc, and also good growth of Balm and also Fair and Handsome. Definitely, Navratna Oil was not a very growth in the fourth quarter, but it's actually because of the product mix.

## Ajay Thakur, Analyst

Okay, sir. That's it. Thanks.

## Mohan Goenka, Director

Yeah.

## Operator

Thank you. We're going to take our next question from the line of Satish [ph] Godhani from Span Capital. Please go ahead.

Hello. This is Hitesh from Span Capital. Sir, I have a question regarding your four power brands, how much do they contribute to your overall sales?

## Mohan Goenka, Director

They contribute to roughly about 75%.

## Hitesh Godhani, Analyst

Okay, 75. And what do you expect over the next two to three years, the volume growth from these brands and they maintain the same growth rate looking at the low penetration of your brands?

## Mohan Goenka, Director

Yeah, absolutely. As I always maintain, I am very confident of achieving 16%, 17% growth rate. So volume growth should be anywhere in the range of 12% to 13% over the next three to four years.

## Hitesh Godhani, Analyst

Okay. And also, what is the operating cash flow for your -- for you this fiscal year 2013?

## Mohan Goenka, Director

Sorry, operating --

## Hitesh Godhani, Analyst

Operating cash flow you earned in this FY'13?

## Mohan Goenka, Director

It was about 380 crores.

## Hitesh Godhani, Analyst

380 crores. Okay, thank you for answering my questions.

## Mohan Goenka, Director

Thank you.

## Operator Unidentified Participant

Hello, sir. Congratulations on a good set of numbers. I had two questions. One is about, I wanted to know the contribution of modern sales to your overall sales. And also what has been the growth rate for FY'13 in the modern trade channel? And my second question is regarding your expected growth rate now for your international operations?

## Mohan Goenka, Director

Yeah, so modern trade contributes to just about 4% of our total business and for the year, the modern trade has grown at about 40%.

## Unidentified Participant

Okay.

## Mohan Goenka, Director

Yeah, for this year. And sorry, what was your last question?

## Unidentified Participant

Sir, your overall international operation, what can we expect in FY'14 and '15 as overall growth rate?

## Mohan Goenka, Director

See, now of course, we have a lower base, so from here we expect to grow at about 15% to 20%.

## Unidentified Participant

Okay. And sir, one more question on, have you seen any sort of volume growth which can be attributed specifically to like overstocking because of the transporter strike or anything like that?

## Mohan Goenka, Director

In India?

## Unidentified Participant

Yeah, so the April was expected so -- another company had reported that some amount of volume growth was attributed to that piece, so anything for us?

## Mohan Goenka, Director Unidentified Participant

Okay. Thank you.

## Mohan Goenka, Director

Thank you.

## Operator

Thank you. We're going to take our next question from the line Hemang Kapasi from Canara Robeco Asset Management. Please go ahead.

## Hemang Kapasi, Analyst

Hello.

## Mohan Goenka, Director

Yeah.

## Hemang Kapasi, Analyst

Sir, can you -- would you be able to give the geographical mix of our products being sold?

## Mohan Goenka, Director

Geographical mix of our products being sold?

## Hemang Kapasi, Analyst

Means, in India -- means East, North or west is --

## Mohan Goenka, Director

Product wise, I don't have readily available.

## Hemang Kapasi, Analyst

Not product wise, but of the total sales what would be the mix roughly?

## Mohan Goenka, Director Hemang Kapasi, Analyst

Okay, sir. Thank you.

## Mohan Goenka, Director

Thank you.

## Operator

Thank you. We're going to take our next question from the line of Sunny Agrawal from Aditya Birla Money. Please go ahead.

## Sunny Agrawal, Analyst

Sir, can you give volume growth for four flagship brand for fourth quarter? Sorry, I missed the initial commentary.

## Mohan Goenka, Director

Volume growth for -- I just gave the numbers, numbers for the year.

## Sunny Agrawal, Analyst

Yeah, I want for fourth quarter.

## Mohan Goenka, Director

In the fourth quarter, Navratna growth was almost flat, there was no growth in Navratna Oil.

## Sunny Agrawal, Analyst

Okay.

## Mohan Goenka, Director

And, I'm sorry, I'll give you again. So, Navratna Oil, the growth was about 6% volume growth and for Boroplus Antiseptic Cream, there was no growth.

## Sunny Agrawal, Analyst

Okay.
For the Balms it was about 14%.

## Sunny Agrawal, Analyst

Okay.

## Mohan Goenka, Director

And for Fair and Handsome, it was roughly about 3%.

## Sunny Agrawal, Analyst

Okay. Thank you.

## Operator

Thank you. We're going to take our next question from the line of Kunal Bhatia from Dalal and Broacha. Please go ahead.

## Kunal Bhatia, Analyst

Sir, thanks for my questions. I just missed out on the number you mentioned that power brands contribute what percentage of your revenues?

## Mohan Goenka, Director

75%.

## Kunal Bhatia, Analyst

Okay. Thank you, sir.

## Operator

Thank you. We're going to take our next question from the line of Sandipan [ph] from Motilal Oswal Financial Services. Please go ahead.

## Unidentified Participant

Hi, good evening. Firstly, congratulation from becoming a 10,000 crore market cap company today.

## Mohan Goenka, Director Unidentified Participant

Just wanted to know how much INR1 sachets of Navratna Oil are you selling? How much did you sell in FY'13 and what would be the other percentage of the flagship brand?

## Mohan Goenka, Director

So, you are asking how much did the sachet contribute in Navratna sales?

## Unidentified Participant

Yeah.

## Mohan Goenka, Director

Total for Navratna Oil, it contributes to roughly about 35%.

## Unidentified Participant

35%?

## Mohan Goenka, Director

INR1 sachet, yeah.

## Unidentified Participant

And what would be the absolute number in rupees crores?

## Mohan Goenka, Director

Roughly, about 175 crores.

## Unidentified Participant

175 crores?

## Mohan Goenka, Director

Yeah.

## Unidentified Participant Mohan Goenka, Director

I don't have ready figures for sachet.

## Unidentified Participant

Approximately?

## Mohan Goenka, Director

It would have grown by about 10%.

## Unidentified Participant

10%?

## Mohan Goenka, Director

Yeah.

## Unidentified Participant

Okay. Thank you.

## Mohan Goenka, Director

Thank you.

## Operator

Thank you. (Operator Instructions) We're going to take a follow-up question from the line of Ravi Baid from Union KBC Mutual Fund. Please go ahead.

## Ravi Baid, Analyst

Sir, could you please elaborate on our Boroplus Skin lotion?

## Mohan Goenka, Director

Elaborate in the sense, sorry?

## Ravi Baid, Analyst Mohan Goenka, Director

Yeah, so Boroplus lotion has grown at about 30% for this year.

## Ravi Baid, Analyst

Okay.

## Mohan Goenka, Director

Yeah. It has done exceedingly well, this year winter is also good.

## Ravi Baid, Analyst

So what percentage would that be of the Boroplus brand in terms of contribution?

## Mohan Goenka, Director

For the Boroplus brand, lotion is quite small, it will be roughly about 10%.

## Ravi Baid, Analyst

And what would be the market share of the product?

## Mohan Goenka, Director

For Boroplus lotion? Lotion market share will be about 6%, 7%.

## Ravi Baid, Analyst

Okay. Sure. Thank you.

## Mohan Goenka, Director

Yeah.

## Operator

Thank you. We're going to take our next question from the line of Harsh Mehta from HDFC Mutual Fund. Please go ahead.

## Harsh Mehta, Analyst Mohan Goenka, Director

Yeah so our -- this Healthcare division, the volume growth was 45%.

## Harsh Mehta, Analyst

Okay.

## Mohan Goenka, Director

Yeah.

## Harsh Mehta, Analyst

Okay.

## Mohan Goenka, Director

That's where it come from.

## Harsh Mehta, Analyst

Okay. Thank you so much.

## Mohan Goenka, Director

Yeah. Thank you.

## Operator

Thank you. We're going to take our next question from the line of Chanchal Khandelwal, Birla Sun Life Insurance. Please go ahead.

## Chanchal Khandelwal, Analyst

Thank you. Congrats on good set up numbers. I'm just shooting on the balance sheet, net 6% is gone down. I don't know whether you have explained that from 480 crore to 439 crore. Why is that?

## Mohan Goenka, Director Chanchal Khandelwal, Analyst

Hello.

## Mohan Goenka, Director

Yeah.

## Chanchal Khandelwal, Analyst

Is it better now?

## Mohan Goenka, Director

Yeah, better.

## Chanchal Khandelwal, Analyst

In the net fixed asset in the consolidated balance sheet, it has gone down from 480 crore to 439 crore, why has that gone down? Net fixed asset in the consolidated balance sheet, I'm talking about.

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

No, Chanchal, every year we are depreciating this -- amortizing these goodwill 100 crores.

## Chanchal Khandelwal, Analyst

Okay. So but goodwill you have reported separately, sir. Goodwill on consolidation has been reported separately, I'm in page of the presentation.

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Right. So if you see their net fixed assets, we have this goodwill which came out of the Zandu amalgamation also.

## Chanchal Khandelwal, Analyst

Okay.

## Mohan Goenka, Director

So that 100 crores we are amortizing every year.
That's part of that sitting in the other fixed assets you're talking about.

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Yeah, Yeah, Yeah.

## Chanchal Khandelwal, Analyst

Okay, okay. Secondly, on the debtor days. Why is our debtor days so high, I'm just trying to understand. Is it only the modern trade or is it something else?

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

For domestic, except modern trade, the other normal movement of the stores, we sell entirely on cash. So there we don't have any debtors, but whatever debtors we have on our balance sheet the majority of that is for our international business and CSD supplies.

## Chanchal Khandelwal, Analyst

International and CSD. But international and CSD put together is how much 15%, 16% of sales?

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Right.

## Chanchal Khandelwal, Analyst

So that's -- mostly it's on credit, is it?

## Rajesh Sharma, Vice President, Finance, Accounts and Investor Relations

Yeah, because there the trade period is almost 90 days, but that is tends [ph] to even 120 days for CSD. And export is also, LC backed in 90 days, LC kind of 120 days. So there it's three, four months kind of a period, for which receivables are kept pending on our books.

## Chanchal Khandelwal, Analyst

Okay, okay. Sure, sir. Wish you all the best.

## Mohan Goenka, Director

Okay. Thank you.
Thank you. We're going to take our follow-up question from the line of Prakash Kapadia from ialpha Enterprises. Please go ahead.

## Prakash Kapadia, Analyst

Sir, on the Prickly Heat Powder under Boroplus, it's a fairly competitive market, so your thoughts on that? And secondly, if you could give us some sense sort of relief ointment, we take a new brand ambassador, so is it focused, is it not focused and the outlook for the relief ointment, sir?

## Mohan Goenka, Director

Boroplus Prickly Heat Powder has done well in the fourth quarter.

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

It has grown at almost about 17%.

## Prakash Kapadia, Analyst

Right.

## Mohan Goenka, Director

So, it remains as a focused brand, because Boroplus as you know is a power brand.

## Prakash Kapadia, Analyst

Power brand, right.

## Mohan Goenka, Director

Yeah. So, definitely Prickly Heat Powder also is a focused brand. And yeah, Fast Relief, their performance is not been so good for the year, but it still remains to be a focused brand for us, because last year we grew at almost about 20%, but this year our growth was only at 10%.

## Prakash Kapadia, Analyst

Okay. Was it some packaging or sizing issue, because we had re-launched the product, we have taken a lot of brand ambassadors and we're trying to grow it faster, so were that market related issues or the acceptance was lower?
No, I would say the acceptance was slightly lower.

## Prakash Kapadia, Analyst

Okay.

## Mohan Goenka, Director

And we're finding an intense competition in this particular segment. So maybe we have to change our strategy a bit.

## Prakash Kapadia, Analyst

Okay. And sir, Boroplus Prickly Heat what percentage it would be to the Boroplus brand? Is it like 5%, 10% of the Boroplus brand as of now?

## Mohan Goenka, Director

It would be about 7% of Boroplus.

## Prakash Kapadia, Analyst

Okay, sir. Thank you.

## Operator

Thank you. (Operator Instructions) As there are no further questions, I would now like to hand over the conference over the Mr. Aniruddha Joshi for closing comments. Thank you. Mr. Joshi? Hello?

## Aniruddha Joshi, Analyst

Hello. On behalf of Anand Rathi Research, we would like to thank this management of Emami, Mr. Mohan Goenka as well as Mr. Rajesh Sharma. I also thank all the participants for being on the call. And now I hand over to Mohan ji for his closing comments. Thanks and over to you, sir.

## Mohan Goenka, Director

Thank you, Aniruddh and thank you, Shirish for organizing this call. Thank you all participants. Thank you.

## Operator

Thank you. On behalf of Anand Rathi Research, that concludes this conference call. Thank you for joining us. You may now disconnect your line. Thank you.